

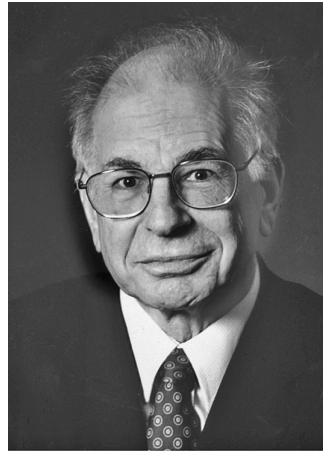


FIGURE 1.4 Daniel Kahneman, Prize winner in Economic Sciences 2002.

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psychological research into economic science, especially concerning human judgment and decision-making under uncertainty.” Smith similarly “established laboratory experiments as a tool in empirical economic analysis, especially in the study of alternative market mechanisms,” garnering the recognition of the committee.⁷

Professor Kahneman (Figure 1.4) found that under conditions of uncertainty, human decisions systematically depart from those predicted by standard economic theory. Kahneman, together with Amos Tversky (deceased in 1996), formulated prospect theory. An alternative to standard models, prospect theory provides a better account for observed behavior and is discussed at length in later chapters. Kahneman also discovered that human judgment may take heuristic shortcuts that systematically diverge from basic principles of probability. His work has inspired a new generation of research, employing insights from cognitive psychology to enrich financial and economic models.

Vernon Smith (Figure 1.5) is known for developing standards for laboratory methodology that constitute the foundation for experimental economics. In his own experimental work, he demonstrated the importance of alternative market institutions, for example, the rationale by which a seller’s expected revenue depends on the auction technique in use. Smith also performed “wind-tunnel tests” to estimate the implications of alternative market configurations before such conditions are implemented in practice. The deregulation of electricity markets, for example, was one scenario